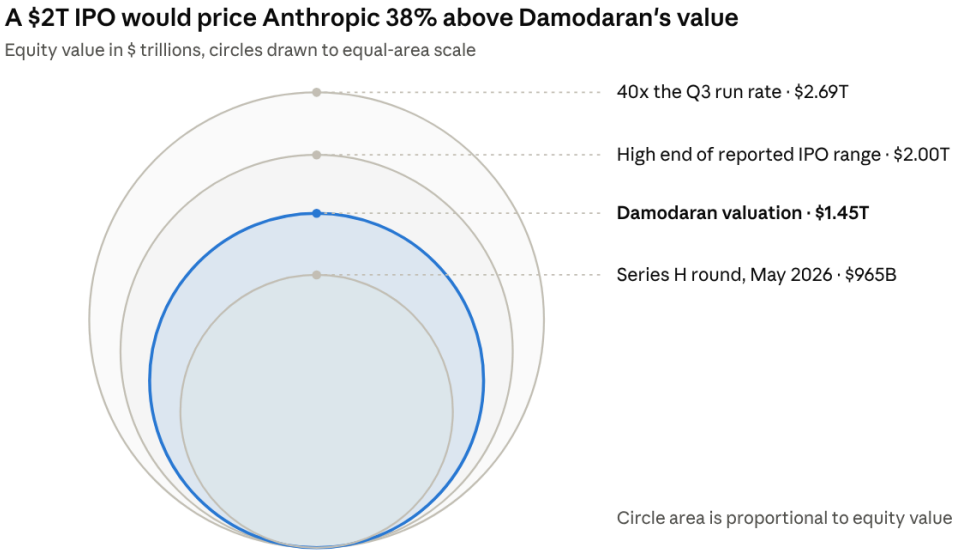
The Anthropic IPO Deconstruction



Summary

At the reported $1.5T to $2T, the IPO price implies roughly $1T of annual revenue over 10 years at a 30% operating margin, and Damodaran's own valuation of $1.45T sits at the low end of that range.

- **The multiple depends on when you stop the clock.** $1.5T is 32x Q2 annualised revenue ($annualized 22x the Q3 run rate ($67.2B), a 45% move in one quarter.
- **The margin bar is high.** On a Q2 base, $1T of year 10 revenue requires a terminal margin of 27.8% to 46.5%; on a Q3 base, it requires 40.9% or more.
- **Fixed costs and counterparties are concentrated.** Non-cancelable compute commitments run about $70B a year, close to the whole Q3 run rate. Nearly half of revenue flows through the three clouds that also invest in and supply Anthropic.

Conflict of interest. This report was drafted by Claude, the company it analyses. Verify every figure against the S-1 on SEC EDGAR. This is analysis, not investment advice. S-1 numbers come from press reports of the filing, not a direct read of it.

Scope update. The brief called this a pre-filing referred to. Anas Thropic filed its public S-1 on 26 Oct 2026, so the report covers the period from the filing onward; the share count, lockup, and the run-rate figure are still blank. Damodaran's pricing essay (22 Oct) predates the filing. His valuation (28 Oct, updated 3 Nov) followed it.

Part 1: Pricing vs. valuation

Bankers price Anthropic on run-rate revenue because its cash flows are too uncertain to value, and every pricing multiple still hides assumptions about growth, margin and risk.

Damodaran separates the two acts in From Eyeballs to ARR. *Valuation* estimates an asset is worth based on the cash flows it can generate and the risk associated with them. *Pricing* attaches a number based on what others pay for similar assets. Young companies get priced, not valued.

Anthropic fits on three counts. It has been operating profitably on an adjusted basis for about one quarter. Revenue grew roughly 14x year over year, so any trailing metric is stale by the time it arrives. And there is almost no public peer group: Gemini sits inside Alphabet, xAI inside SpaceX, and OpenAI is private. His test for a $1.5T to $2T price is that it needs "sky-high revenue growth" early on and operating margins of 30% or higher.

From eyeballs to ARR

- **Late 1990s:** dot-coms priced on eyeballs, on the argument that ad spend should follow attention.
- **2010s:** social media priced by users; subscription firms by subscribers.
- **Now:** software and AI priced on ARR. Each metric proxies for revenue, which in turn proxies for cash flow, adding a layer of definition risk.

How ARR gets re-engineered

Damodaran calls ARR figures "not standardized and can be easily gamed." He names three levers.

- **Gross vs. net.** OpenAI's move to net revenue reportedly cut its ARR from $70B to $50B—Anthropic reports gross revenue and books cloud provider payments as expenses.
- **Annualization window.** ARR can be built from the last day, week or month. Both labs now use a month, but nothing binds them to it.
- **Usage vs. committed.** Anthropic customers pay on usage, which is not contracted recurring revenue.

Attribution check. The brief cites annualizing a single peak month and circular revenue, as Damodaran points out. In the essay, as I read it, he raises the window and gross-vs-net issues but does not describe peak-month annualizing or discuss circular revenue. Both are real risks. Part 2 treats circularity from other sources and marks it as mine.

Run-rate basis	Quarterly revenue	Annualized (x4)
Q2 2026 (S-1)	$11.56B	$46.2B
Q3 2026 (Damodaran)	$16.8B	$67.2B
One-quarter change	+45%	+45%

(A fixed $1.5T price is 32x on the Q2 base and 22x on the Q3 base. The multiple is a function of when depends on clock.)

Part 2: Compute drag and the circular revenue loop

Operating efficiency improved quickly, but about $70B a year in non-cancelable compute commitments sits against a $67B run rate, and revenue, cost, and equity all route through the same three clouds.

Top line vs. commitments

Compute fell from well over 250% of revenue to 48% every quarter ($5.6B of $11.56B in Q2), per Damodaran. Anthropic reports $2.08 of revenue per $1 of compute in Q2, up from $0.69 in Q4 2025. Operating cash flow was positive $3.9B in H1, compared with negative $1.5B a year earlier (Fortune).

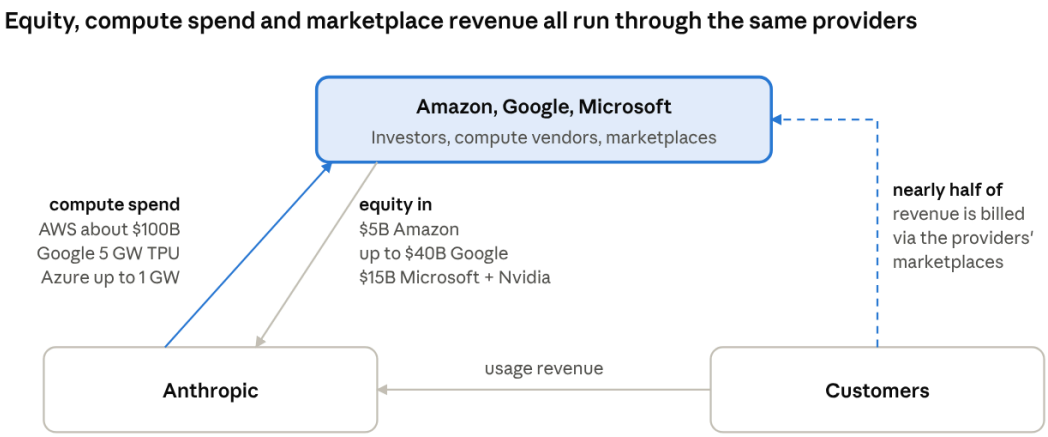
The drag is in the commitments. Fortune reports $657B of infrastructure agreements, of which $498B (76%) is non-cancelable, mostly over seven years or less. That implies roughly $70B a year. Damodaran puts contractual commitments at about $450B (present value of about $373B), and another tally from The VC Corner puts it at about $637B. The $450B-$657B spread is itself a diligence item.

- Fixed obligations of about $70B a year roughly equal the whole $67B Q3 run rate, so growth has to outrun a cost base sized for demand that has not arrived.
- Fixed costs raise operating leverage both ways. If growth slows, margin compresses quickly.
- The S-1 states an intent to "secure further compute beyond our existing commitments", so the obligation is still growing.

Investor and vendor pairs

Provider	Investment	Compute tied to it
Amazon (FourWeekMBA)	$5B extension, Apr 2026	About $100B of AWS spend over the contract window
Google (LetsDataScience)	$10B cash, up to $30B more on undisclosed milestones	5 GW of TPU over five years
Microsoft and Nvidia (Axios)	$15B combined, Nov 2025	Up to 1 GW of Azure compute; pact reported at $30B (Constellation Research, headline only)

Two circularity risks stack. First, equity from a cloud provider returns as compute spend that the provider books as cloud revenue. A Bernstein analyst quoted in the coverage warns this may flatter near-term cloud growth without reflecting end-customer demand. Second, Fortune reports nearly half of Anthropic's revenue flows through Amazon, Google and Microsoft marketplaces, the same three that invest in and supply it. Amazon's pair is a 20x ratio: $5B in against about $100B of committed spend. Google's cash terms are only partly known, so no ratio is given.



cash and revenue loop · 3 parties, 4 flows

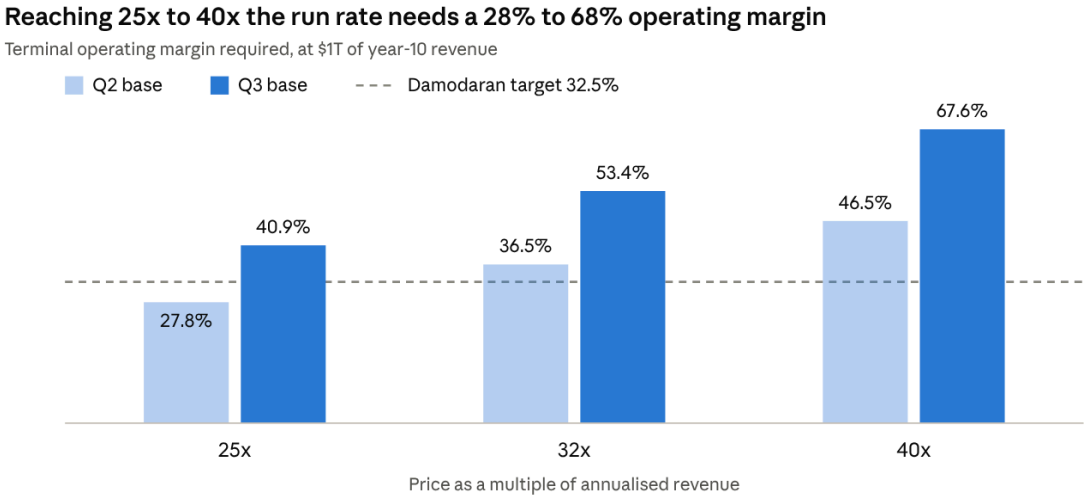
The loop closes twice: equity returns as compute spend, and customer revenue arrives through the providers' own marketplaces.

Part 3: Implied margin and multiple stress test

A 25x to 40x multiple needs a 28% to 68% terminal margin at $1T of year-10 revenue, and if Damodaran's operating case is delivered exactly, the 40x buyer earns below the 9.74% cost of capital.

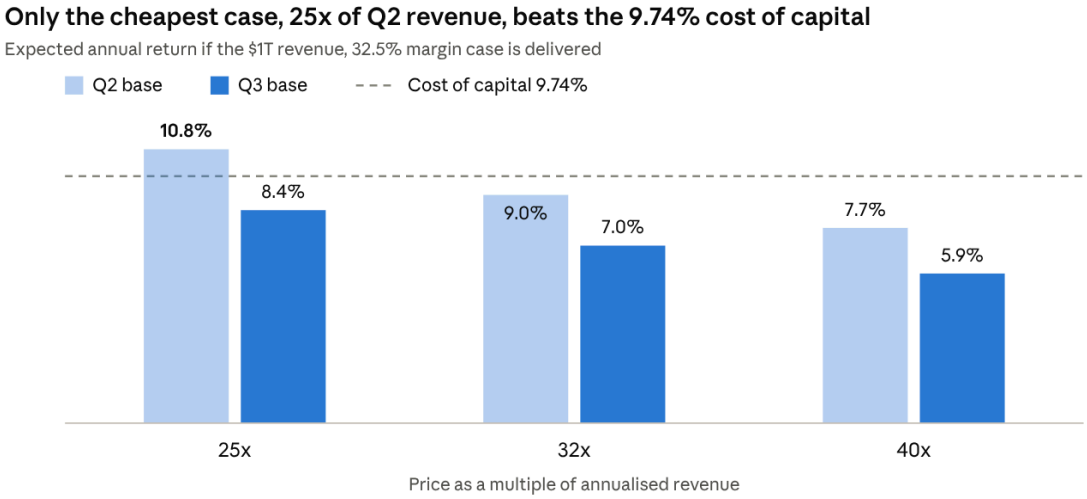
I rebuilt a Damodaran-style discounted cash flow and solved backwards from each price. Revenue grows on a smooth path from the run-rate base to a year-10 target. Margin ramps linearly from 10% (H1 adjusted) to a terminal level. Reinvestment follows a 3:1 sales-to-capital ratio. The cost of capital is 9.74%, and the failure risk is 10%.

Calibration. With his inputs ($1T year-10 revenue, 32.5% margin) the model gives $1.3,3T of equity value against his $1.45T, 8% lower. My version does not net commitments as debt, so the real gap runs the wrong way for caution. Read the outputs as directional.



author's DCF replication · Q2 base $46.2B, Q3 base $67.2B

Damodaran's own 32.5% target is enough for only one of the six cases, the cheapest.



Author's DCF replication · cost of capital 9.74% per Damodaran

The gap to the hurdle widens with price: 40x of the Q3 run rate returns 5.9% per year, compared with 9.74%.

At $1T of year-10 revenue, only a 40% margin lifts equity value past $1.5T

Equity value in $ trillions, Q2 run-rate base, 9.74% cost of capital

At or above $1.5T, the low end of the reported IPO range

Year-10 revenue \ Terminal operating margin	20%	25%	30%	32.5%	35%	40%
$2,000B	1.44	**1.80**	**2.17**	**2.35**	**2.53**	**2.89**
$1,500B	1.16	1.43	**1.70**	**1.84**	**1.98**	**2.25**
$1,000B	0.87	1.05	1.24	1.33	1.42	**1.61**
$750B	0.72	0.86	1.00	1.07	1.14	1.28
$500B	0.57	0.67	0.76	0.81	0.86	0.96

author's DCF replication · Q2 base, 10% failure risk, $231.7B cash added

At a 32.5% margin, each extra $500B of year-10 revenue above $1T adds about $0.5T of value, while five more margin points add about $0.2T to $0.3T. Growth moves the answer more than margin.

Reading the results

- **30% is the middle of the required range, not a stretch case.** At $1T of revenue, 25x of the Q2 base needs 27.8%, 32x needs 36.5%, and 40x needs 46.5%.
- **The Q3 base is much harder.** 25x of $67.2B is $1.68T. Reaching it with $1T of year-10 revenue needs a 40.9% margin, or $1.31T of revenue at 32.5%.
- **Growth required.** $1T in ten years from $67B is a 31% compound rate. $1.5T needs 36% and $2T needs 40%.
- **Retention is the wrong lever to test.** With 95% gross-dollar retention and no expansion, today's run rate provides about 4% of year-10 revenue at $1T. At 90% it supplies 2.3%, and at 80% it supplies 0.7%. The price is a bet on new workloads and expansion, not on the durability of current ARR. The S-1 reportedly shows net revenue retention near 900%, but that is measured off a base that was a fraction of today's and cannot be extrapolated.

Model assumptions

- Tax 25%. Terminal growth 4%. Stable-phase return on capital equal to cost of capital.
- Starting margin 10%. Sales-to-capital 3. Cost of capital 9.74%—failure 10%, valued at zero.
- Cash added: $131.7B (S-1, per press) plus $100B of expected IPO proceeds (press estimate, not guidance).
- Commitments are not deducted as debt, which flatters value.

Part 4: Three forensic questions for the S-1 and its amendments

The filing leaves the run rate, price range, share count, and lockup blank, and the press accounts of the operating loss conflict, so these three questions determine how much of the story holds.

1. What is the run rate, and how much of the profit story rests on adjustments?

- The run-rate figure is reportedly blank in the filing. What is the formula, which month is used, and does it include usage spikes or only contracted revenue?
- Revenue is reported gross. With nearly half sold through cloud marketplaces, what is the marketplace fee, where does it sit, and what would the net revenue be?
- Adjusted operating income of about $1.6B (10%) excludes stock compensation, non-cash charitable contributions and legal settlements. Quantify each and show the GAAP bridge.
- **Conflict to resolve.** Fortune reports an H1 GAAP operating loss of $693M. Damodaran reports a loss of over $8B before the $72B convertible note charge. Which is right, and what explains the gap?
- The company estimates 5% to 7% of 2026 revenue that came from customers later found to violate usage policies. Is that revenue recoverable, restated or at risk of reversal?

2. How much revenue, cost and equity runs through the same counterparties?

- Provide a schedule, by provider, of equity invested, cash received, compute and marketplace fees paid, and revenue earned through that provider's channel.
- Which investments depend on spend? Google's up to $30B of further funding is tied to undisclosed milestones.

- Give the $498B non-cancelable obligation by year, with take-or-pay terms and any step-downs, and reconcile the $450B-$657B range quoted across sources.
- What share of compute spend goes to holders of equity or convertible notes?

3. How big is the real float, and what unlocks when?

- Price range and share count are blank. At a reported $100B raise, the float is only 5.0% to 6.7% of a $2T to $1.5T company if the raise is all primary (my arithmetic). A thin float can push the opening price well above fair value.
- What are the lockup length, the early-release triggers (price- or earnings-based) and the share of outstanding stock released at each step?
- The $72B charge reflects convertible notes marked up. How many shares do they convert into at listing, who holds them, and are they locked up?
- Will related parties or other large holders take anchor allocations? The founders retain 50.1% of voting power through a single-class voting F share, and the board may issue an additional 2% of shares to an Anthropic Public Benefit Fund after each 50% rise above a benchmark, diluting the share count.

Bottom line

At the reported range, the price is a bet that Anthropic reaches about $1T of annual revenue in ten years at a 30% to 40% operating margin, without commitments squeezing it on the way. Damodaran's $1.45T sits at the low end of that range. Above it, the investor pays for margins and growth his base case does not contain.

What would change this view: a net-revenue run rate close to the gross figure, a related-party schedule showing small circularity, or a float large enough to remove the squeeze.

Sources and method

Figures come from the pages below. Press figures were read through automated page summaries, and some conflict with each other; conflicts are flagged in the text. Model outputs are my own calculations and not a forecast.

- Damodaran, From Eyeballs to ARR: Buzzy Pricing Metrics and the AI Trade!. Read via an automated summary; check quotes against the post.
- Damodaran, The Anthropic Prospectus Arrives (28 Oct) and The Anthropic Feedback Loop (3 Nov)—inputs: 32.5% margin, 9.74% cost of capital, 10% failure, $1.45T.
- Fortune, Anthropic's S-1, by the numbers (27 Oct). Commitments, cash, cash flow.
- Fortune, Anthropic's IPO prospectus shows $16.3 billion in revenue (26 Oct). Net loss, adjusted: net, concentration, marketplace share.
- The VC Corner, Anthropic S-1: IPO Filing, ANT Ticker, Revenue and Losses. Retention, share classes.
- LeverageShares, Anthropic IPO Tracker. Filing status, blank fields, reported timing.
- AdvisorAnalyst, When the Price Is the Story. Summary of Damodaran's 22 Oct essay.
- Amazon deal, Google deal, Microsoft and Nvidia, Azure pact headline.